government spending. We made progress on the first two, far too little on the third.

We cut about $40 billion in spending from the budget the first year, the biggest reduction ever. But that autumn, as I waited for the effects of the tax cuts to work their way into the economy, I realized how right I'd been when I'd said there wasn't going to be a quick fix to our economic problems: The deficit went up instead of down, and I realized we weren't going to balance the budget by 1984 as I expected. There was an ironic aspect to the situation: Because we had brought down inflation at a faster clip than we anticipated, federal tax revenues were smaller than projected, which made it more difficult to balance the budget.

After a cabinet session on the 1982-83 budget in December 1981, these words in my diary expressed the sense of disappointment I felt:

> We who were going to balance the budget face the biggest budget deficit ever. And yet percentage wise, it will be smaller in relation to G.N.P. We have reduced Carter's 17 per cent spending increase to nine per cent. The recession has added to costs and reduced revenues, however, so even with that reduction in govt, size, we have a large deficit.

A few weeks before our meeting, I invited several of the country's best-known economists to the White House to ask them why they thought the country was falling so deeply into the recession and what could be done to halt the slide. They all gave me a different answer, reminding me of something Harry Truman once said: "Find me a one-armed economist, because every one I know always says, 'Well, on the other hand . . .'"

I mentioned to one of the economists a story about three men who arrived in heaven at the same time. Saint Peter,